divided the two countries diplomatically since 1974; it now brought them together.

Delhi's growing friendship with Washington could have alienated Moscow as US–Russia relations grew more fractious. In fact, the relationship held, though without much warmth. India and Russia were preoccupied with domestic economic and political challenges, and for Moscow, more than Delhi, the relationship no longer held the same importance. What Delhi did with Washington was no great worry for Moscow. Bilateral trade with India had collapsed after the Cold War, particularly after the suspension of the rupee–rouble payment system. In 1999–2000, two-way Indo-Russian trade stood at a mere $1.57 billion; by 2005–06, it had risen to just $2.7 billion.[38] This was minuscule compared to the volumes of Sino-Russian trade.

What remained significant was the arms relationship, despite Moscow's deepening links with China. Under a 1997 accord, and the strategic partnership agreement of 2000, India bought Russian equipment and cooperated in military R&D. The two began to jointly develop the BrahMoS supersonic cruise missile. In 2002, India received its first Su-30 MKI fighters and then proceeded to manufacture them domestically. In 2007, the two sides began to cooperate on designing a fifth generation fighter aircraft (FGFA). Other purchases included battle tanks and the *Admiral Gorshkov* aircraft carrier. India also leased a nuclear-powered submarine from Russia.

Entente unravelling

India–China bilateral relations during this period were marked largely by pragmatism, but China's rise would push India into the US corner. In 2004, Nathu La, where in 1967 the two sides had briefly fought, was opened for border trade. When Wen Jiabao visited India in the same year, he visited Bangalore and suggested that the two countries could cooperate in IT. In 2005, the two sides agreed on the basic parameters and guidelines that